Chapter 4: In-Class Questions

EC306 Wages and Employment, Fall 2026

These questions cover Chapter 4, *Labour Supply and Income Support Programs*. They are written in the style of the short-answer section of the midterm, where each part is worth 5 marks. We work through the answers in class, so solutions are not posted.

Question 1

A province's social assistance program pays a single adult $800 a month and reduces the benefit by $1 for every $1 earned. The province reforms the program: recipients may now keep the first $300 a month they earn before any benefit is clawed back, and the basic benefit is cut to $700 a month. Consider a person who can earn $15 an hour.

a) Draw this person's monthly budget constraint before and after the reform. Label the income at zero hours of work, and the hours of work at each kink in the constraint.

b) Predict how the reform affects the hours of work of (i) a recipient who was not working before the reform, and (ii) someone who was working 60 hours a month and not collecting social assistance. Explain using income and substitution effects.

Question 2

A province introduces a refundable working income credit. It pays nothing until annual earnings reach $2,000. Above that, it pays 25 cents per dollar earned until the credit reaches its maximum of $1,500. The credit stays at $1,500 until earnings reach $20,000, and is then reduced by 10 cents for every dollar earned above $20,000.

a) Find the credit paid to workers earning $5,000, $15,000, and $28,000 a year. For each worker, is the credit's effect on hours of work positive, negative, or ambiguous? Explain.

b) A critic argues that the credit is bad policy because it reduces the hours of most of the people who receive it. Explain what the credit does to labour force participation, and why that matters for evaluating the critique.